10. Income Taxes

Tax Reform act of 2017

On December 22, 2017, the Tax Cuts and Jobs Act was enacted into law and introduced significant changes to U.S. tax law. The Company reflected the impacts of changes in tax law to the financial statements including the federal income tax rate reduction from 35% to 21%; the new limitations on the tax deductibility of interest expense; the acceleration of business asset expensing; the repeal of the alternative minimum tax ("AMT"); the limitation on the use of net operating losses generated in future years; and the Global Intangible Low Taxed Income regime. On March 27, 2020, the CARES Act was enacted into law and introduced changes to U.S. tax law including revised limitations on the tax deductibility of interest expense and the limitation on the use of net operating losses.

Due to an ownership change in the first quarter of 2020, the future utilization of certain post-change income tax attributes of Yunghong CTI Ltd , including net operating loss carryovers, are anticipated to be limited for U.S. income tax purposes.

The provision (benefit) for income taxes consists of the following:

	Year Ended December 31,	
	2022	**2021**
Current:		
Federal	$ -	$ -
State	-	-
Foreign	-	-
Total Current	-	-
Deferred:		
Federal	$ -	$ -
State	-	-
Foreign	-	-
Total Deferred	-	-
Provision (Benefit) for income taxes	-	-

Income tax provision (benefit) related to continuing operations differ from the amounts computed by applying the statutory income tax rate of 21% to pretax loss as follows (in thousands):

	Year Ended December 31,	
	2022	**2021**
U.S. Federal provision (benefit)		
At Statutory Rate	$ (120,000)	$ (743,000)
State Taxes	25,000	(770,000)
Change in Valuation Allowance	50,000	1,792,000
NOL Carryback Claim (CARES Act)	-	-
Nondeductible Expenses	-	-
Foreign Taxes	-	-
Deconsolidation & Impairment	(32,000)	(623,000)
Other	77,000	344,000
Total	**$ -**	**$ -**

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Deferred Tax Assets and Liabilities

Deferred income taxes reflect the net tax effects of loss and credit carryforwards and temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes.

Significant components of our deferred tax assets for federal and state income taxes are as follows):

	Year Ended December 31,	
	2022	**2021**
Deferred Tax Assets:		
Federal & State NOL Carryforward	3,241,000	2,696,000
Foreign Tax Credit & Other Credits	307,000	308,000
Capitalized R&D	55,000	-
Reserves and Accruals	152,000	205,000
Capital Loss Carryforward	2,378,000	2,360,000
Unicap 263A Adjustment	233,000	282,000
Other DTA	(91,000)	(90,000)
Foreign NOL Carryforward	2,000	2,000
Deferred Interest Expense	1,704,000	1,578,000
ERC Wage Disallowance	-	313,000
Deconsolidation & Impairment	-	415,000
Total Gross DTA	7,982,000	8,069,000
Less: Val. Allowance	(8,159,000)	(8,115,000)
Total Deferred Tax Assets	(177,000)	(46,000)
Deferred Tax Liabilities:		
Fixed Assets & Intangibles	233,000	158,000
Section 481(a) Adjustment	(56,000)	(112,000)
Total Gross DTL	177,000	46,000
Net Deferred Tax Assets	-	-

Realization of our deferred tax assets is dependent upon future earnings, if any, the timing and amount of which are uncertain. Due to the lack of earnings history and in light of management's comments regarding going concern for most of 2019 through December 31, 2022, a valuation allowance has been recorded to reduce the deferred tax assets to its net realizable value. The valuation allowance increased by $0.4 million and increased by $1.7 million during the years ended December 31, 2022 and December 31, 2021, respectively. The valuation allowance includes no benefit related to stock based compensation and exercises for the years ended December 31, 2022 and 2021, respectively, prior to the implementation of ASC 515 and 718, that will be credited to additional paid in capital when realized.

Net Operating Loss and Tax Credit Carryforwards

As of December 31, 2022, we had a net operating loss carryforward for federal income tax purposes of approximately $9.8 million, of which $0.2 million is subject to expiration beginning 2037. We had a total state net operating loss carryforward of approximately $12.5 million, with various expiration dates. Utlization of some of the federal and state net operating loss and credit carryforwards are subject to annual limitations due to the "change in ownership" provisions of the Internal Revenue Code of 1986 and similar state provisions. The annual limitations may result in the expiration of net operating losses and credits before utilization.